

By removing the ten biggest one-day moves from the U.S. stock market over the past fifty years, we see a huge difference in returns—and yet conventional finance sees these one-day jumps as mere anomalies. (This is only one of many such tests. While it is quite convincing on a casual read, there are many more-convincing ones from a mathematical standpoint, such as the incidence of 10 sigma events.)

Unbeknownst to me, 1987 was not the first time the idea of the Gaussian was shown to be lunacy. Mandelbrot proposed the scalable to the economics establishment around 1960, and showed them how the Gaussian curve did not fit prices *then*. But after they got over their excitement, they realized that they would have to relearn their trade. One of the influential economists of the day, the late Paul Cootner, wrote, “Mandelbrot, like Prime Minister Churchill before him, promised us not utopia, but blood, sweat, toil, and tears. If he is right, almost all our statistical tools are obsolete [or] meaningless.” I propose two corrections to Cootner’s statement. First, I would replace *almost all* with *all*. Second, I disagree with the blood and sweat business. I find Mandelbrot’s randomness considerably easier to understand than the conventional statistics. If you come fresh to the business, do not rely on the old theoretical tools, and do not have a high expectation of certainty.

Anyone Can Become President

And now a brief history of the “Nobel” Prize in economics, which was established by the Bank of Sweden in honor of Alfred Nobel, who may be, according to his family who wants the prize abolished, now rolling in his grave with disgust. An activist family member calls the prize a public relations coup by economists aiming to put their field on a higher footing than it deserves. True, the prize has gone to some valuable thinkers, such as the empirical psychologist Daniel Kahneman and the thinking economist Friedrich Hayek. But the committee has gotten into the habit of handing out Nobel Prizes to those who “bring rigor” to the process with pseudoscience and phony mathematics. *After* the stock market crash, they rewarded two theoreticians, Harry Markowitz and William Sharpe, who built beautifully Platonic models on a Gaussian base, contributing to what is called Modern Portfolio Theory. Simply, if you remove their Gaussian assumptions and treat prices as scalable, you are left with hot air. The Nobel Committee could have tested the Sharpe and Markowitz models—they work like quack remedies sold on the Internet—but nobody in Stockholm seems to have thought of it. Nor did the committee come to us practitioners to ask us our opinions; instead it relied on an academic vetting process that, in some disciplines, can be corrupt all the way to the marrow. After that award I made a prediction: “In a world in which these two get the Nobel, anything can happen. Anyone can become president.”